

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

Let's think through this step by step .

<think>

First , let's calculate the total cost Josh has incurred :

- Purchase price : \$ 8 0 , 0 0 0

- Repairs : \$ 5 0 , 0 0 0

Total cost = \$ 8 0 , 0 0 0 + \$ 5 0 , 0 0 0 = \$ 1 3 0 , 0 0 0

Next , let's calculate the increased value of the house after repairs :

- Initial value of the house : \$ 8 0 , 0 0 0

- Value increase : 1 5 0 % of \$ 8 0 , 0 0 0

Value increase = 1 . 5 Ã \$ 8 0 , 0 0 0 = \$ 1 2 0 , 0 0 0

Therefore , the new value of the house after repairs is :

New value = Initial value + Value increase

New value = \$ 8 0 , 0 0 0 + \$ 1 2 0 , 0 0 0 = \$ 2 0 0 , 0 0 0

Finally , to calculate the profit :

Profit = New value of the house - Total cost

Profit = \$ 2 0 0 , 0 0 0 - \$ 1 3 0 , 0 0 0 = \$ 7 0 , 0 0 0

</think>

<answer>70000</answer>

